the importance of the governor frequently reassuring the market; instead, I yielded the stage to others, thereby letting all the noise distort the message. While combating inflation during 2010–11 when growth was also seen to be stalling, I had openly mused about the nuances of the growth–inflation trade-off instead of showing undivided commitment to inflation control. It was in managing the exchange rate during 2012–13 though that my communication faculties were put to the most gruelling test. I realized that what you said, or didn't say, was important, but how you said it and when was even more important. Let me illustrate.

Recall that on 15 July 2013, in the midst of the taper tantrums, I took the extraordinary step of raising interest rates to manage the exchange rate. Quite understandably, the decision attracted a lot of commentary and the usual share of compliments and criticism. We had a regularly scheduled quarterly policy review on 30 July, just two weeks after the above unscheduled policy tweaking. In the scheduled review, I saw no case for any further policy adjustment; we just reiterated our concern about the need for correcting the domestic structural imbalances to bring stability to the external sector.

The post-policy media conference that afternoon was to be my last as governor. For a long time I had been looking forward to this conference, expecting that it would be along the lines of a farewell engagement. Instead of a serious question-and-answer session on substantive issues, we would spend much of the time reminiscing about my five years as governor. That wasn't to be.

That the exchange rate issue would dominate the media conference was also a no-brainer. Sure enough, the first question was whether and when the monetary-tightening measures instituted to manage the exchange rate would be withdrawn. As I wrote earlier, the intent behind this unusual action was to squeeze systemic liquidity in order to curb speculation on the rupee, and thereby send a strong signal to the market about the Reserve Bank's resolve to defend the currency. I replied that these measures were temporary and would be rolled back once the exchange rate regained stability. On the timing of the rollback, I said that the Reserve Bank was sensitive to the